

POL-006

Group AML / CFT & Sanctions Policy

Group Functions & All KBC Business Lines

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About this policy: This policy explains KBC's zero-tolerance approach to financial crime — what money laundering, terrorist financing, and sanctions evasion are, how to recognise them, and what to do if you suspect them.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

Financial crime — money laundering, terrorist financing, sanctions evasion, bribery, and fraud — causes enormous harm. It funds criminal enterprises and terrorist groups, destabilises financial systems, and corrupts legitimate economies. Banks occupy a critical position in the fight against financial crime because all significant financial flows pass through us.

KBC has zero tolerance for financial crime. We will not knowingly assist anyone in laundering money, evading sanctions, or financing terrorism. We will always cooperate fully with law enforcement and regulatory authorities. This policy ensures every KBC employee understands their personal role in that commitment.

2. Who This Policy Applies To

This policy applies to all KBC Group employees in all countries. Financial crime does not recognise borders, and neither do KBC's obligations. Whether you work in Belgium, Czech Republic, Hungary, Slovakia, or Bulgaria, the standards in this policy apply equally to you.

3. What Money Laundering and Financial Crime Mean

Money laundering is the process of making illegally obtained money appear legitimate. The classic image is cash from drug dealing being deposited into bank accounts. The reality is more complex — modern money laundering involves multiple transactions, multiple jurisdictions, and multiple institutions, designed to obscure the origin of funds.

Terrorist financing is the process of providing money to fund terrorist activity. It does not always involve large sums — small amounts moved through legitimate-looking channels can fund significant harm. Sanctions evasion involves attempting to conduct business with individuals, companies, or countries that are prohibited — by disguising the identity of the sanctioned party or the nature of the transaction.

You do not have to be a financial crime expert

You do not need to identify every money laundering typology or know every sanctions list. What you need to do is remain alert to things that feel wrong, ask questions when you are uncertain, and report your concerns promptly. Your instinct is one of KBC's most valuable financial crime controls.

4. Know Your Customer — Why We Check Who We Are Dealing With

Before KBC opens an account, approves a loan, or establishes any business relationship, we must verify the identity of the customer and understand the nature of their business. This is Customer Due Diligence (CDD), and it is not a bureaucratic formality — it is how we ensure we know who we are dealing with.

Standard CDD involves verifying identity using reliable documents, understanding what the customer does and why they want the product, and assessing whether their expected activity makes sense. Where customers present higher risk — because of their nationality, the nature of their business, or political connections — we apply Enhanced Due Diligence, which requires more detailed information and senior approval.

Politically Exposed Persons — current or former senior politicians, government officials, judges, military officers, or their close family members and associates — receive enhanced scrutiny as a matter of course, regardless of how personally trustworthy they may appear.

5. Knowing Who Really Owns a Company

One of the most common ways financial crime is concealed is through complex corporate structures designed to obscure who ultimately controls or benefits from a company. When we deal with a corporate customer, we must identify and verify all individuals who ultimately own or control more than 25% of the company.

We cannot open an account for a company, or proceed with a significant transaction, until we have verified the complete ownership chain down to natural persons. If beneficial ownership cannot be established — because documents are unavailable, structures are genuinely complex, or the customer is being evasive — this is a serious red flag. We escalate. We do not proceed.

6. Watching for Suspicious Activity

Even after a customer is onboarded, we must continue to monitor their activity. Transaction monitoring systems analyse patterns and flag anomalies. But systems depend on accurate data, well-designed rules, and human review of flags they generate. Be alert to activity that does not match what you know about the customer — large cash deposits for a customer who normally transacts digitally, payments to high-risk jurisdictions with no obvious business purpose, transactions structured to break up larger amounts. These are not conclusive proof of anything, but they are reasons to look closer.

7. Sanctions — Who We Cannot Deal With

Sanctions are restrictions imposed by governments and international bodies that prohibit dealings with specific individuals, companies, and countries. KBC screens all customers, transactions, and counterparties against the relevant sanctions lists in real time. Genuine matches are reviewed by our Trade Compliance team and, where confirmed, the transaction is blocked and the matter is escalated immediately.

The countries currently subject to the most comprehensive sanctions — where KBC will not do business — include Iran, North Korea, Syria, Cuba, and the Crimea region of Ukraine. Russia and Belarus are subject to extensive sectoral sanctions that significantly restrict the types of transactions we can process.

8. Reporting Concerns

If you suspect that a customer is engaged in money laundering, terrorist financing, or sanctions evasion, report your concern to the Group MLRO or your local MLRO promptly. You must not tell the customer they are under suspicion — this is 'tipping off' and is a criminal offence. Do not discuss your suspicions with colleagues who do not need to know. Reporting in good faith protects you.

9. Your Responsibilities

- Complete all mandatory AML and sanctions training on time.
- Apply KYC and CDD standards consistently — do not cut corners because a customer is impatient.

- Report suspicious activity promptly and confidentially to the MLRO.
- Never tip off a customer under investigation.
- Escalate when beneficial ownership cannot be verified.
- Comply with sanctions screening requirements and escalate matches immediately.

10. Consequences

Financial crime compliance failures can result in serious regulatory sanctions against KBC, including fines, public censure, and restrictions on business activities. For individual employees, deliberate or negligent participation in financial crime can result in criminal prosecution, imprisonment, and lifetime bans from the financial services industry.

11. Getting Help

- **Group MLRO / Local MLRO** — for suspicious activity reports.
- **KBC Compliance Advisory** — for AML and sanctions queries.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

12. Policy Review

This policy is reviewed annually and following material changes to the AML or sanctions regulatory framework.